

5-YEAR PROFIT PROJECTIONS

Volunteer Management SaaS Platform

Supplement to Business Plan | March 2026

1. Industry Benchmarks

Projections are grounded in SaaS Capital's 2025 survey of 1,000+ private B2B SaaS companies and other benchmarking sources. Bootstrapped SaaS companies report median annual growth of 23%, spend a median of 93% of ARR on operations, and 85% operate at or near breakeven or are profitable. The median bootstrapped SaaS nets about 5–7% of revenue as profit, while top quartile operators achieve 15–20% net margins. Bootstrapped companies are valued at a median of 4.8x ARR.

Important context: The volunteer management space has a lower average contract value (~\$65/month blended) than typical B2B SaaS (\$5K–\$50K ACV), meaning more customers are needed per revenue dollar. However, sales cycles are shorter, CAC is lower, and nonprofit SaaS tends to have lower churn (2–4% monthly) once organizations are set up.

2. Scenario A: Conservative (Lifestyle Business)

The three founders run the business themselves with no outside hires. Growth is organic, marketing spend is minimal, and the founders prioritize personal income stability over aggressive scaling. Salary is taken modestly in Year 2, increasing as revenue allows.

	Year 1	Year 2	Year 3	Year 4	Year 5
Customers (EOY)	30–45	70–100	140–200	280–350	350–450
Blended ARPC	\$60	\$62	\$64	\$65	\$68
Annual Revenue (ARR)	\$22K–\$32K	\$52K–\$74K	\$108K–\$154K	\$218K–\$273K	\$286K–\$367K
Team Size	3 founders	3 founders	3 founders	3 founders	3 founders
Founder Salary (each)	\$0	\$20K–\$30K	\$40K–\$50K	\$60K–\$70K	\$70K–\$80K
Total Payroll	\$0	\$60K–\$90K	\$120K–\$150K	\$180K–\$210K	\$210K–\$240K
Operating Costs	\$18K–\$22K	\$20K–\$26K	\$24K–\$32K	\$30K–\$40K	\$35K–\$45K

Net Profit / (Loss)	(\$0K)–\$10K	(\$36K)–(\$16K)	(\$36K)–(\$28K)	\$8K–\$23K	\$41K–\$82K
Net Margin	0–31%	(69%)–(22%)	(33%)–(18%)	3–8%	14–22%
Cumulative Profit / (Loss)	(\$0K)–\$10K	(\$36K)–(\$6K)	(\$72K)–(\$34K)	(\$64K)–(\$11K)	(\$23K)–\$71K
Implied Valuation (4.8x)	\$106K–\$154K	\$250K–\$355K	\$518K–\$739K	\$1.0M–\$1.3M	\$1.4M–\$1.8M

Year 5 outcome: Each founder earns \$70K–\$80K salary plus ~\$14K–\$27K profit share. Total per-founder compensation: \$84K–\$107K/year. The business is sustainable but modestly sized. Note that Years 2–3 show losses once salaries begin — this is normal and is covered by the initial founder investment pool (\$8K–\$10K each) and reinvested Year 1 revenue.

3. Scenario B: Moderate (Growth-Oriented)

Founders invest more aggressively in marketing and hire 1–2 employees by Year 3–4. Salaries start later but ramp faster as revenue supports it. Growth tracks at roughly the bootstrapped SaaS median of ~23% annually after Year 2.

	Year 1	Year 2	Year 3	Year 4	Year 5
Customers (EOY)	45–65	120–170	270–400	500–700	700–1,000
Blended ARPC	\$62	\$64	\$66	\$68	\$72
Annual Revenue (ARR)	\$33K–\$48K	\$92K–\$131K	\$214K–\$317K	\$408K–\$571K	\$605K–\$864K
Team Size	3 founders	3 founders	3 + 1 hire	3 + 1 hire	3 + 2 hires
Founder Salary (each)	\$0	\$25K–\$35K	\$50K–\$65K	\$75K–\$85K	\$85K–\$95K
Total Payroll	\$0	\$75K–\$105K	\$200K–\$250K	\$275K–\$310K	\$345K–\$405K
Operating Costs	\$20K–\$28K	\$28K–\$40K	\$40K–\$58K	\$55K–\$75K	\$70K–\$95K
Net Profit / (Loss)	\$5K–\$20K	(\$11K)–(\$14K)	(\$26K)–\$9K	\$78K–\$186K	\$190K–\$364K
Net Margin	15–42%	(12%)–(11%)	(12%)–3%	19–33%	31–42%
Cumulative Profit / (Loss)	\$5K–\$20K	(\$6K)–\$9K	(\$32K)–\$18K	\$46K–\$204K	\$236K–\$568K
Implied Valuation (4.8x)	\$158K–\$230K	\$442K–\$629K	\$1.0M–\$1.5M	\$2.0M–\$2.7M	\$2.9M–\$4.1M

Year 5 outcome: Each founder earns \$85K–\$95K salary plus ~\$63K–\$121K profit share. Total per-founder compensation: \$148K–\$216K/year. The company has real equity value of \$2.9M–\$4.1M and is positioned for continued growth or acquisition.

4. Scenario C: Optimistic (Strong Product-Market Fit)

The product hits strong product-market fit across 4–5 verticals. Growth tracks top-quartile bootstrapped SaaS at ~35% annually. The team scales to 8 people by Year 5 with dedicated support, sales, marketing, and development hires.

	Year 1	Year 2	Year 3	Year 4	Year 5
Customers (EOY)	60–90	180–270	480–720	1,000–1,400	1,400–2,000
Blended ARPC	\$64	\$66	\$69	\$72	\$78
Annual Revenue (ARR)	\$46K–\$69K	\$143K–\$214K	\$398K–\$596K	\$864K–\$1.2M	\$1.3M–\$1.9M
Team Size	3 founders	3 + 1 hire	3 + 2 hires	3 + 3 hires	3 + 5 hires

Founder Salary (each)	\$0	\$35K–\$45K	\$65K–\$80K	\$90K–\$110K	\$100K–\$120K
Total Payroll	\$0	\$150K–\$185K	\$295K–\$370K	\$450K–\$560K	\$600K–\$760K
Operating Costs	\$22K–\$32K	\$40K–\$55K	\$65K–\$95K	\$110K–\$150K	\$150K–\$210K
Net Profit / (Loss)	\$24K–\$37K	(\$47K)–(\$26K)	\$38K–\$131K	\$304K–\$490K	\$550K–\$930K
Net Margin	52–54%	(33%)–(12%)	10–22%	35–41%	42–49%
Cumulative Profit / (Loss)	\$24K–\$37K	(\$23K)–\$11K	\$15K–\$142K	\$319K–\$632K	\$869K–\$1.6M
Implied Valuation (4.8x)	\$221K–\$331K	\$686K–\$1.0M	\$1.9M–\$2.9M	\$4.1M–\$5.8M	\$6.2M–\$9.1M

Year 5 outcome: Each founder earns \$100K–\$120K salary plus ~\$183K–\$310K profit share. Total per-founder compensation: \$283K–\$430K/year. The company is valued at \$6.2M–\$9.1M and would be an attractive acquisition target or candidate for revenue-based financing.

5. Side-by-Side: All Scenarios at Year 5

	Conservative	Moderate	Optimistic
Year 5 ARR	\$286K–\$367K	\$605K–\$864K	\$1.3M–\$1.9M
Year 5 Customers	350–450	700–1,000	1,400–2,000
Team Size	3	5	8
Year 5 Net Profit	\$41K–\$82K	\$190K–\$364K	\$550K–\$930K
Year 5 Net Margin	14–22%	31–42%	42–49%
5-Year Cumulative Profit	(\$23K)–\$71K	\$236K–\$568K	\$869K–\$1.6M
Per-Founder Salary (Yr 5)	\$70K–\$80K	\$85K–\$95K	\$100K–\$120K
Per-Founder Total Comp	\$84K–\$107K	\$148K–\$216K	\$283K–\$430K
Implied Company Value	\$1.4M–\$1.8M	\$2.9M–\$4.1M	\$6.2M–\$9.1M
Per-Founder Equity Value	\$467K–\$600K	\$967K–\$1.4M	\$2.1M–\$3.0M

6. Revenue Trajectory by Scenario (ARR, Midpoint)

	Year 1	Year 2	Year 3	Year 4	Year 5
Conservative	\$27K	\$63K	\$131K	\$246K	\$327K
Moderate	\$41K	\$112K	\$266K	\$490K	\$735K
Optimistic	\$58K	\$179K	\$497K	\$1.0M	\$1.6M

7. What Determines Which Scenario You Hit

The difference between Conservative and Optimistic is execution on a few specific levers:

- **Churn rate** — Reducing monthly churn from 4% to 2% nearly doubles your customer base over 5 years with the same acquisition rate. Invest in onboarding, support, and time-to-first-value.
- **ARPC growth** — Upselling Starter customers to Professional (\$29 → \$79) has more impact than acquiring new Starter customers. Build clear upgrade paths tied to organization growth.
- **Multi-vertical expansion** — Each new industry template opens a distinct customer pool with its own organic search traffic, conferences, and referral networks. The Optimistic scenario assumes 4–5 active verticals by Year 5.

- **Marketing investment** — Bootstrapped companies that spend 8–10% of ARR on marketing grow nearly 40% faster than those spending less than 5%. Content marketing compounds over time.
- **Net Revenue Retention (NRR)** — If existing customers expand usage (more volunteers, more admin seats, upgrading tiers), you can grow even without new customers. Target 100%+ NRR.
- **Year 1 speed** — How quickly you go from zero to first paying customer has an outsized impact on all subsequent years. Every month of delay shifts every milestone by a month.

8. Important Caveats

- These projections assume the product is launch-ready and customer acquisition begins immediately. If significant development work remains, add 6–12 months to all timelines.
- Year 1 shows positive net income in all scenarios only because founder salaries are \$0. The "profit" in Year 1 is really just undrawn revenue that should be reserved as operating capital.
- Years 2–3 often show losses in the Conservative/Moderate scenarios once salaries begin. This is normal for bootstrapped SaaS and is funded by the initial investment pool and retained Year 1 revenue.
- The volunteer management space requires ~1,200 customers at \$70 ARPC to reach \$1M ARR — a volume game that demands efficient self-serve onboarding and low-touch sales.
- Government contracts (Priority #5 vertical) could boost ARR significantly in Years 4–5 but are not included in Conservative or Moderate scenarios due to unpredictable timing.
- All valuation multiples are based on 2025 benchmarks and may shift based on market conditions.
- Founder salaries below \$50K may create personal financial stress that undermines execution. Plan personal finances accordingly for Years 1–2.

Disclaimer: This document is a strategic planning tool, not financial advice. All projections are estimates based on publicly available industry benchmarks from SaaS Capital (2025 Annual Survey), Lighter Capital (2025 B2B SaaS Benchmarks), and other sources. The founders should consult with a CPA and attorney before making financial or legal decisions. Past industry performance does not guarantee future results.

Sources: SaaS Capital 2025 Annual Survey (1,000+ companies); SaaS Capital Bootstrapped Benchmarks 2025; Lighter Capital 2025 B2B SaaS Startup Benchmarks; G Squared CFO SaaS Benchmarks 2025; ProductLed State of B2B SaaS 2025 (446 companies); Benchmarkit 2025 SaaS Performance Metrics.